Comparative Statics with Fixed Prices

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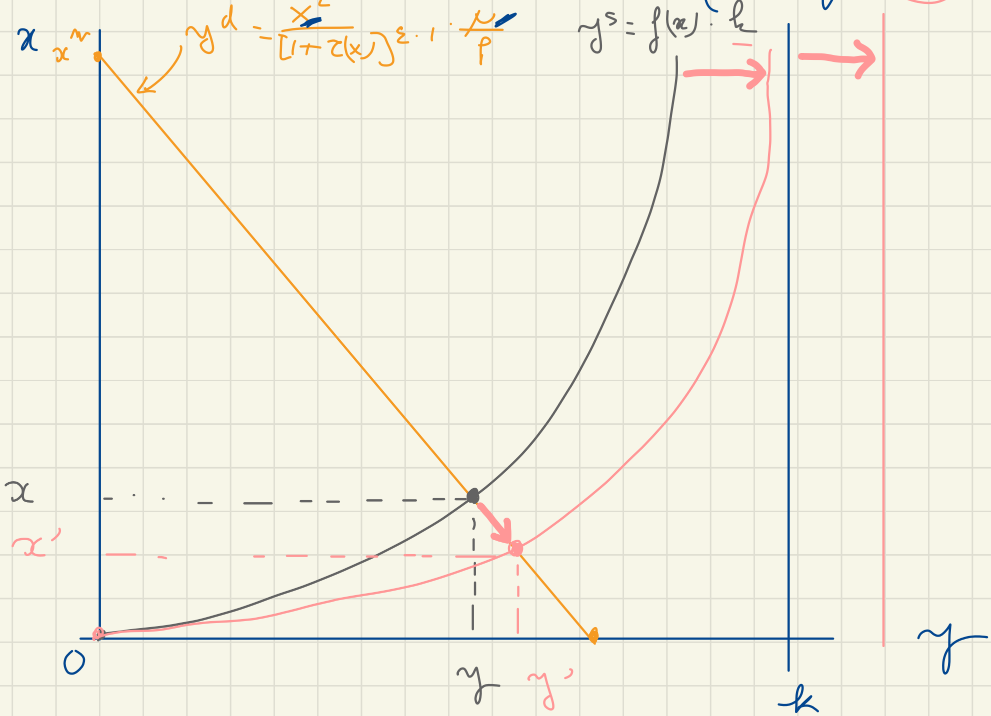
AS shocks: increase in capacity k

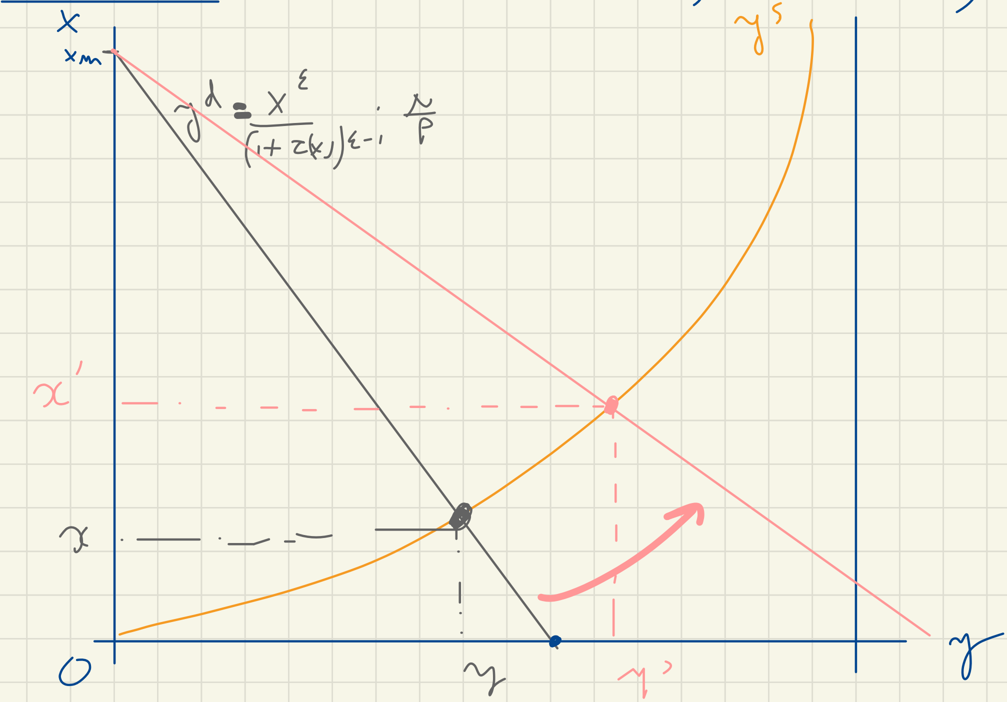


Summary: when k ↑

- tightness x ↓
- output y ↑
- buying proba $q(x)$ ↑
- matching wedge $\tau(x)$ ↓
- selling proba $f(x)$ ↓
- measured productivity ↓
- rate of idleness $1 - f(x)$ ↑

- consumption $c = \dfrac{y}{1+\tau(x)}$ ↑

AD shock: Increase in x, increase in μ



Summary when x, μ ↑

- tightness x ↑
- output y ↑
- buying proba. $q(x)$ ↓
- matching wedge $\tau(x)$ ↑
- selling proba $f(x)$ ↑
- measured productivity ↑

- rate of idleness $n = f(x)$ ↓

- consumption $c = y / 1 + \tau(x)$?